

Centum Investment Company Plc
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27 July 2021

Geoffrey Odundo
Chief Executive Officer
Nairobi Securities Exchange
The Exchange
55 Westlands Road
Nairobi, Kenya

Dear Geoffrey,

FINANCIAL RESULTS FOR THE YEAR ENDED 31 MARCH 2021

The Board of Directors of Centum Investment Company Plc is pleased to announce the audited financial results of the Group and Company for the financial year ended 31 March 2021 as set out below:

Consolidated and Company Statements of Comprehensive Income for the year ended 31 March 2021

KES million	Group		Company	
	Mar '21	Mar '20	Mar '21	Mar '20
Trading business:				
Sales	996	5,469	-	-
Direct and other operating costs	(1,525)	(5,444)	-	-
Trading (loss) profit	(529)	25	-	-
Financial services:				
Income from financial services	4,338	3,796	-	-
Funding and other costs	(4,008)	(3,625)	-	-
Profit from financial services	330	171	-	-
Real Estate				
Real Estate sales and Investment income	2,158	4,211	-	-
Funding and other costs	(1,283)	(651)	-	-
Profit from Real Estate investments	875	3,560	-	-
Two Rivers Development				
Sales and Investment income	1,045	(2,061)	-	-
Funding and other costs	(1,830)	(1,819)	-	-
Share of loss from joint venture	(1,074)	(2,078)	-	-
Loss from Two Rivers Development Group	(1,859)	(5,958)	-	-
Investment operations:				
Investment and other income	684	13,347	1,517	3,695
Operating and administrative costs	(715)	(1,132)	(669)	(895)
Finance costs	(629)	(1,815)	(603)	(1,815)
(Loss)/profit from investment operations	(660)	10,400	245	985
Total operating profit	(1,843)	8,198	245	985
Impairment provision on assets	(489)	(2,752)	(1,071)	(3,580)
(Loss)/profit before tax	(2,332)	5,446	(826)	(2,595)
Tax	964	(818)	220	(797)

Directors: Dr. D. Kaberuka (Chairman), Dr. J.M. Mworio (Managing Director), Industrial & Commercial Development Corporation (ICDC), Dr. C.J. Kirubi, Dr. L. Macharia, Hon. W. Byaruhanga, C. Igathe, M. Ngige, S. Wakhungu-Githuku, Dr. M. Ikiara

KES million	Group		Company	
	Mar '21	Mar '20	Mar '21	Mar '20
(Loss)/Profit for the year	(1,368)	4,628	(606)	(3,392)
Other comprehensive income, net of tax	(86)	802	(4,212)	(971)
Total comprehensive income	(1,454)	5,430	(4,818)	(4,363)
Earnings Per Share-Basic	(0.93)	10.25		
Total comprehensive income attributable to:				
Owners of the parent	(705)	7,621		
Non-controlling interest	(749)	(2,191)		
Total comprehensive income	(1,454)	5,430		

Consolidated and Company Statements of Financial Position as at 31 March 2021

KES million	Group		Company	
	Mar '21	Mar '20 Restated	Mar '21	Mar '20
Investment portfolio	20,173	18,202	46,040	53,168
Cash and cash equivalents	5,877	8,182	867	2,912
Other assets	83,378	75,479	609	771
Total Assets	109,428	101,863	47,516	56,851
Customer deposits	23,070	17,460	-	-
Borrowings	25,501	22,197	4,122	7,486
Deferred Tax Liabilities	3,227	5,470	749	1,196
Other Liabilities	9,653	7,463	823	730
Total Liabilities	61,451	52,590	5,694	9,412
Total Equity	47,977	49,273	41,822	47,439
Total Capital and Liabilities	109,428	101,863	47,516	56,851
NAV per share (KES.)			62.85	71.29

Consolidated and Company Statement of Cash Flows for the year ended 31 March 2021

KES million	Group		Company	
	Mar '21	Mar '20	Mar '21	Mar '20
Opening cash and cash equivalents	7,126	5,285	1,875	144
Net cash from operations	7,917	20,043	4,536	19,083
Net cash used in investing activities	(8,143)	(5,855)	(2,067)	(4,800)
Cash used in financing activities	(2,058)	(12,347)	(4,493)	(12,552)
Closing cash and cash equivalents	4,842	7,126	(149)	1,875
Made up of:-				
Cash and cash equivalents	5,877	8,182	867	2,912
Overdraft	(1,035)	(1,056)	(1,016)	(1,037)
Closing cash and cash equivalents	4,842	7,126	(149)	1,875

Directors: Dr. D. Kaberuka (Chairman), Dr. J.M. Mworio (Managing Director), Industrial & Commercial Development Corporation (ICDC), Dr. C.J. Kirubi, Dr. L. Macharia, Hon. W. Byaruhanga, C. Igathe, M. Ngige, S. Wakhungu-Githuku, Dr. M. Ikiara

Consolidated and Company Statement of Changes in Equity as at 31 March 2021

KES million	Group		Company	
	Mar '21	Mar '20	Mar '21	Mar '20
Share capital	333	333	333	333
Share premium	590	590	590	590
Other reserves	1,814	1,900	19,321	23,532
Retained earnings	40,165	40,373	21,360	22,185
Proposed dividends	218	799	218	799
Non-controlling interests	4,857	5,278	-	-
Total	47,977	49,273	41,822	47,439

Financial Performance

Company Performance

The Company's profit after-tax improved from a loss of KES 3.4 billion to a loss of KES 606 million. The bulk of the loss was on account of impairment provision on fair valuation of the investment portfolio, in line with our conservative asset valuation policy and the prevailing economic conditions. Excluding these impairment provisions, the company made an operating profit of KES 245 million. The Company also booked revaluation losses of KES 4.2 billion through other comprehensive income which contributed to a total comprehensive loss of KES 4.8 billion. A significant contributor to the revaluation losses is the increase in deferred tax liabilities of the subsidiaries of Centum Real Estate Limited (Centum RE) which impacted the valuations of the real estate portfolio company. In the year ended 31 March 2021, the company did not dispose any of its assets. In contrast, the company had recorded a gain on disposal of KES 2.2 billion in the prior period.

Consolidated Performance

The Group's consolidated profit before tax reduced from KES 5.4 billion to a loss of KES 2.3 billion for the year ended 31 March 2021, compared to the previous year. The bulk of the loss in the consolidated statement of comprehensive income was driven by Two Rivers Development Limited (TRDL) in which Centum Investment holds a 58% equity stake which booked a loss of KES 1.9 billion and which we have consolidated fully in line with IFRS requirements. Excluding TRDL, the consolidated loss before tax would have been KES 473 million. The loss at TRDL is driven by high finance costs on account of the underlying capital structure. The boards of TRDL and TRLC have initiated steps to restructure the balance sheets to reduce the interest paying debt and significant progress towards this objective has been made. We expect the balance sheet restructure to be completed by the end of the current financial year which will lead to a significant improvement in the performance of the TRDL Group.

In the year ended 31 March 2020, the Group had recorded exceptional items which included an investment income of KES 12.4 billion, being realized gain from the disposal of beverage assets as well as KES 2.3 billion impairment provision on assets, primarily, Amu Power. In the current period, no gain on disposal has been recorded.

IAS 12 - *Income Taxes* requires that recognition of deferred income tax should be based on the way an entity expects to realise or settle the underlying asset or liability. As a result of heightened economic activities in Real Estate business unit during the year, the group assessed deferred tax liabilities on revaluation of its land bank at the corporate tax rate of 30%. Historically, deferred tax on revaluation of investment property had been assessed at 5%. This increase in the deferred tax liability led to the restatement of the Group's deferred tax liability in the financial statements for the year ended 31 March 2020 as per IFRS requirements.

Net Asset Value Per Share

Directors: Dr. D. Kaberuka (Chairman), Dr. J.M. Mworia (Managing Director), Industrial & Commercial Development Corporation (ICDC), Dr. C.J. Kirubi, Dr. L. Macharia, Hon. W. Byaruhanga, C. Igathe, M. Ngige, S. Wakhungu-Githuku, Dr. M. Ikiara

The Net Asset Value per share declined from KES 71.29 to KES 62.85. The decline was on account of KES 606 million loss for the period, unrealised fair value loss of KES 4.2 billion through other comprehensive income and KES 799 million; being FY 2020 dividend paid during the year.

Dividend

The Board of Directors have recommended a final dividend of KES 0.33 per share which will translate to a cumulative pay-out of KES 218 Million. The payment of the dividend is on the back on an operating profit of KES 245 Million that the company recorded in the year and is intended to cushion our shareholders from the effects of the difficult economic conditions while allowing the company to retain liquidity.

Outlook

We are cautiously optimistic about the coming year. We have witnessed a strong recovery in performance across our portfolio companies and we hope that this recovery will not be interrupted by any unforeseen external economic shocks.

We are 24 months into the Centum 4.0, the last 12 months of which have been plagued by the corona virus global pandemic which has made the business environment quite challenging. Nonetheless, we have made major strides towards achieving our objectives for the strategy period as highlighted below.

We had targeted to pay down the entire long-term debt of KES 16 billion that was outstanding as of 31 March 2019. We, as at the end of the current financial year, have paid down KES 13 billion and reducing our debt to KES 3 billion.

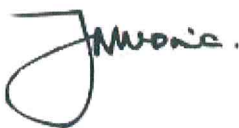
In Centum 4.0, we had targeted to enhance the High Yield Portfolio to KES 7.5 billion by March 2021. We are pleased that we achieved the target with a closing portfolio value of KES 7.5 billion. The objective of this portfolio is to generate a consistent cash income to cover dividend to shareholders, operating costs, and the balance to meet reinvestment requirements.

We achieved a significant milestone in 2021 following the reorganization of our real estate holdings (excluding our 58% stake in TRDL) under Centum RE. Centum RE is now an independent portfolio company with an independent board and management team. Centum RE in the period distributed to the company KES 4.5 billion in the form of interest and shareholder loan repayments. This distribution represents 60% of the KES 7.5 billion we have invested in Centum RE. This business is on track to make additional distributions in the year to March 2022 on the back of a robust sales pipeline.

The decision to pay down the debt on the Company balance sheet and increase the marketable securities portfolio has significantly improved the resilience of the balance sheet, the recurring cash flow position of the Company and the liquidity position which will enable the company to take advantage of opportunities as they emerge.

For further information please visit the Centum website (www.centum.co.ke) and download the investor presentation.

By Order of the Board,



Dr. James Mworira, CFA, CGMA
Group Chief Executive Officer and Managing Director

cc Paul Bwiso
Chief Executive Officer
Uganda Securities Exchange
Kampala, Uganda

Mr. Wycliffe Shamiah
Chief Executive Officer
Capital Markets Authority
Nairobi, Kenya

Mr. Keith Kalyegira,
Chief Executive Officer
Capital Markets Authority,
Kampala, Uganda